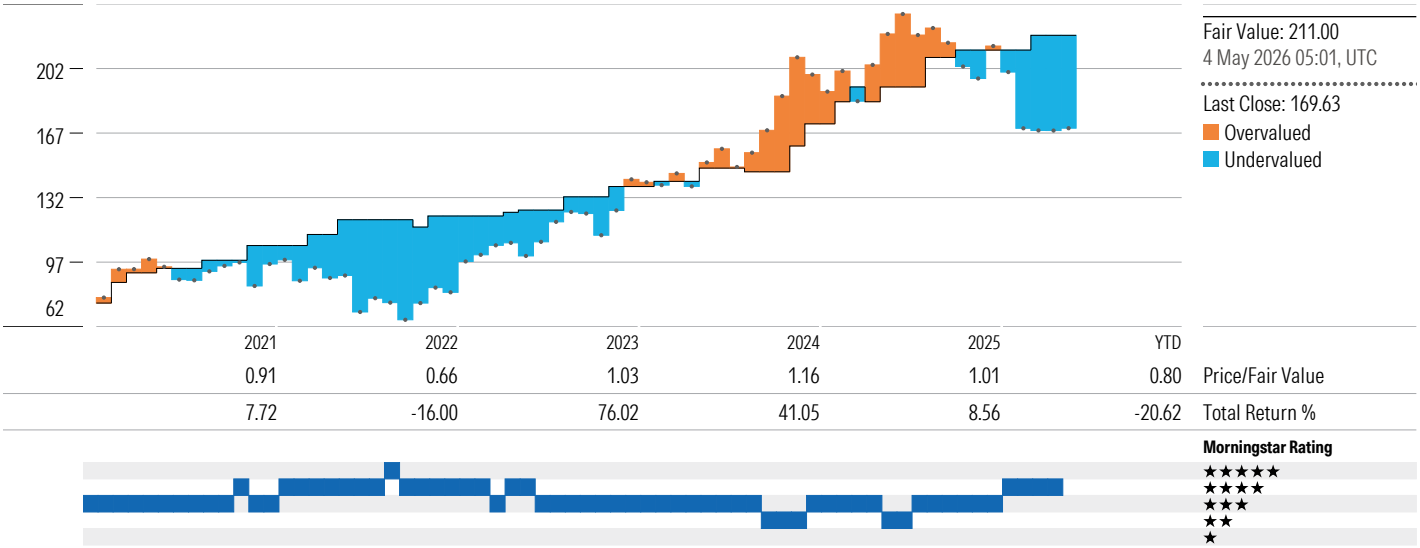
Booking Holdings Inc BKNG ★★★★ 4 May 2026 05:07, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
169.63 USD 1 May 2026	211.00 USD 4 May 2026 05:01, UTC	0.80	131.44 USD Bil 1 May 2026	Wide	Large Value	High	Exemplary	1 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.91	0.66	1.03	1.16	1.01	0.80
Total Return %	7.72	-16.00	76.02	41.05	8.56	-20.62

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 01 May 2026. Last Close as of 01 May 2026. Fair Value as of 4 May 2026 05:01, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Booking's Network Strength Offsetting Near-Term Geopolitical Headwinds

Business Strategy & Outlook Dan Wasiolek, Senior Equity Analyst, 4 May 2026

Despite near-term demand headwinds in the Middle East from the Iran conflict, Booking's leading network of hotel properties and other services continues to expand in developed and emerging markets, as well as in vertical markets such as rentals, attractions, flights, and payments (where it looks to focus on near-term investment), resulting in a fully connected trip offering. In developed markets, replicating Booking's leading network in Europe is proving costly and time-consuming for key competitors, given that around 60%-65% of all hotels in the region are small boutique establishments. In emerging markets, the firm has a presence in China with its Trip.com and Meituan partnerships, and in its own Booking.com and Agoda.com platforms, which are crucial. This expanding network positions Booking well for the increasing global shift to booking via mobile applications.

Booking says it plans to extract $500 million-$550 million in costs by 2026, or about 3% of 2025 operating expenses, which it plans to reinvest in its leading network, the source of our Wide Morningstar Economic Moat Rating. We expect Booking's global online travel agency leadership position to increase over the next decade, driven by a healthy position in Asia-Pacific (about one-fourth of room night bookers), continued leadership in Europe (50%), and an expanding presence in vacation rentals (about 37% of room nights), restaurant bookings, experiences, flights, and payments, all of which are backed by leading marketing and technology scale.

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Sector Consumer Cyclical

Industry Travel Services

Business Description

Booking is the world's largest online travel agency by sales, offering booking and payment services for hotel and alternative accommodation rooms, airlines, rental cars, restaurants, cruises, experiences, and other vacation packages. The company operates several branded travel booking sites, including Booking.com, Agoda, OpenTable, Rentalcars.com, and Kayak. Transaction fees for online bookings account for the bulk of revenue and profits.

We believe that agentic artificial intelligence will utilize the reliable data from Booking's combined systems. However, AI probably won't directly handle payments or services, which many of the smaller hotels and rental properties, which account for 90% of its bookings, often can't offer. Also, Booking's loyalty program members, which account for over one-half of its total bookings, are less likely to switch to other services because of switching costs.

Bulls Say Dan Wasiolek, Senior Equity Analyst, 4 May 2026

- Emerging markets should see strong online travel booking growth over the next 10 years, given middle-income households' increased online usage, and Booking is well positioned.
- Mobile application usage is increasing rapidly, and Booking has a dominant global position, which aids the more than 50% of room nights that come from direct traffic.
- Booking is strengthening its network effect through organic initiatives and in fast-growing markets like experiences, vacation rentals, flights, and payments, resulting in a fully connected trip.

Bears Say Dan Wasiolek, Senior Equity Analyst, 4 May 2026

- Google's continued emphasis on placing its paid ads and metasearch platform ahead of free organic search links could place marketing cost pressure on Booking Holdings.
- Consumers could seek large-scale AI language models to help plan their travel, which could increase marketing expenses for Booking.
- Booking gets a large percentage of bookings from Europe (around 50% of its room night bookers), which could be nearing a more mature growth phase relative to emerging markets.

Economic Moat Dan Wasiolek, Senior Equity Analyst, 4 May 2026

We rate Booking's moat as wide, as its successful expansion into payments, flights, and alternative accommodations has strengthened its already stout platform position. Additionally, we are increasingly comfortable that generative AI/large language models will not hinder Booking's prominent standing in the online travel industry.

In our view, Booking's platform includes the industry's most comprehensive array of travel content, cementing the supply side of its network effect advantage. To illustrate, as of April 2026, Booking had 4.5 million accommodation properties across the world in over 40 languages, consisting of 500,000 hotels, motels, and resorts (over 23 million rooms) and 4 million homes, apartments, and other unique places to stay (8.8 million listings). This compares with narrow-moat Expedia's 3 million accommodation properties, of which more than 2 million are vacation listings, and wide-moat Airbnb's roughly 8 million total listings, of which more than 90% are vacation rentals, with boutique hotels representing the rest. Importantly, Booking's supply of accommodations includes a leading presence in international markets, which have more boutique hotels than branded chain hotels. In Europe and Asia, independent hotels represent about 60%-65% and 50% of each market, respectively, versus only 30% in

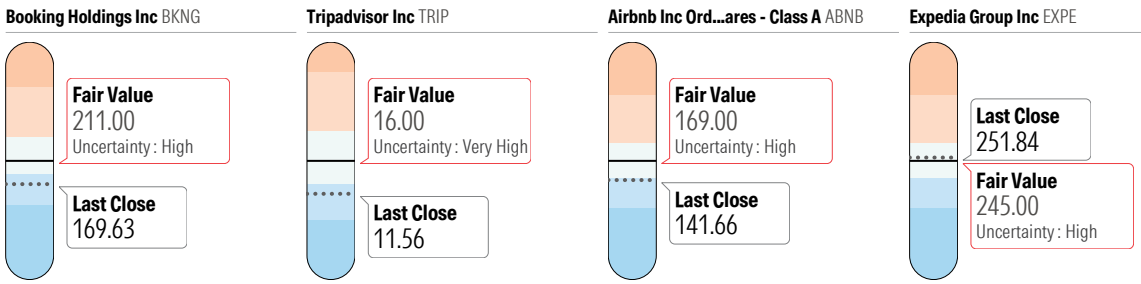
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Competitors



	Booking Holdings Inc BKNG	Tripadvisor Inc TRIP	Airbnb Inc Ord...ares - Class A ABNB	Expedia Group Inc EXPE
Economic Moat	Wide	None	Wide	Narrow
Currency	USD	USD	USD	USD
Fair Value	211.00 4 May 2026 05:01, UTC	16.00 1 May 2026 16:33, UTC	169.00 1 May 2026 16:37, UTC	245.00 1 May 2026 16:24, UTC
1-Star Price	327.05	28.00	261.95	379.75
5-Star Price	126.60	8.00	101.40	147.00
Assessment	Undervalued 1 May 2026	Undervalued 1 May 2026	Undervalued 1 May 2026	Fairly Valued 1 May 2026
Morningstar Rating	★★★★4 May 2026 05:07, UTC	★★★★1 May 2026 05:00, UTC	★★★★1 May 2026 05:00, UTC	★★★1 May 2026 05:00, UTC
Analyst	Dan Wasiolek, Senior Equity Analyst	Dan Wasiolek, Senior Equity Analyst	Dan Wasiolek, Senior Equity Analyst	Dan Wasiolek, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Standard	Standard
Price/Fair Value	0.80	0.72	0.84	1.03
Price/Sales	4.95	0.80	7.21	2.26
Price/Book	—	2.05	10.40	24.03
Price/Earning	22.32	37.29	35.15	25.67
Dividend Yield	0.93%	0.00%	0.00%	0.67%
Market Cap	131.44 Bil	1.33 Bil	84.22 Bil	30.86 Bil
52-Week Range	150.62—233.58	9.01—20.16	110.81—147.25	148.55—303.80
Investment Style	Large Value	Small Value	Mid Growth	Mid Blend

the US. The relative fragmentation of the international hotel market makes it more time-consuming and costly to aggregate and manage. Because these boutique hotels are too small to effectively market on their own, their dependence on online travel agencies for marketing and distribution is greater and stickier, in our view. Meanwhile, Booking also offers topnotch nonaccommodation content, which includes an industry-leading dining platform in North America through its OpenTable brand, flight content, car rental inventory, and payment options, as well as experiences through various third-party relationships.

The market beneath Booking, Expedia, and Airbnb is highly fragmented, making it extremely challenging for any smaller competitor or new entrant to gain customer traffic or supplier scale. In the online travel agency industry, a successful travel network not only involves attracting and keeping personnel and managing supplier and traveler relationships, but also heavy advertising expenses to attract and retain traffic to the platform. In 2025, Booking spent $8.2 billion, or 30% of sales, on

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marketing, which compares with $7.4 billion, or 50% of sales, at Expedia, and $2.6 billion, or 21% of revenue, at Airbnb.

Booking Holdings' ability to spend in a travel network should not be understated, especially as it looks to reinvest some of its planned $500 million-$550 million in cost savings over the next few years into its platform. As traffic scale is built, understanding of consumer behavior also increases, as does the ability to enhance the platform experience, thereby improving conversion. One way to gauge how a travel platform is resonating with travelers is through the percentage of traffic that comes directly to the network, as this signals that users are aware of and find value in the customer experience. In February 2026, 48% of Booking.com's traffic was direct compared with 46% and 64% at Expedia.com and Airbnb.com, respectively.

But we don't believe Booking has rested on its laurels by relying on its platform strength. Booking's robust network prowess has only strengthened in recent years, driven by its expansion into the flight and vacation rental verticals and payment offerings. The power of Booking's platform has been shown through the rapid increase in air transactions it has generated after it began displaying carrier content on its Booking.com brand across more countries starting in 2021. Booking's quarterly air transactions ramped from a roughly stagnant 2 million between 2014 and 2020 to about 4 million in 2021, 6 million in 2022, 9 million in 2023, 14 million in 2024, and 17 million in 2025. This illustrates that as Booking adds more supply to its network, it generates more demand.

Another recent successful expansion of Booking's platform has been adding payment options across the world on Booking.com to help facilitate transactions for those suppliers who don't have the means to independently offer such capabilities. The success of this endeavor is shown in the company's merchant bookings rising 500% since 2019 and reaching 70% of total bookings in 2025 versus 27% in 2019, which indicates the added feature is resonating with platform users.

These payment resources have helped promote growth in the alternative accommodation vertical, where many merchants are individual owners and don't have such capabilities. We calculate Booking's 2025 alternative accommodation room night share amounted to the mid-30s compared with the mid-40s for Airbnb and 10% for Expedia. We believe Booking's stout alternative accommodation presence takes on added importance as this vertical shelters it from any potential threat of mass-market AI/LLM search products driving bookings directly to large brand suppliers, given this vertical is heavily fragmented and individually owned, and unlike US hotels, where over 70% of rooms are part of a brand.

LLMs like OpenAI and Gemini will increasingly have the capability to quickly return relevant travel content information to a user. But we think the content these generative AI search products draw on will be owned by either the direct supplier or aggregated platforms like Booking, which has amassed a solid amount of customer travel data points over the last few decades. The number of monthly visits to

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Booking.com at 523 million in February 2026 dwarfs its competition, with traffic at Expedia.com and Airbnb.com measuring 80 million and 95 million visits, respectively, during that period. As a result, we believe that Booking likely has multitudes of invaluable customer insights that are hard for others to produce. In our view, this customer data is essential to unlocking the promise of more customized offerings and generating bookings in an AI world. That said, we do acknowledge the risk that, over time, the mass-market AI personal assistant product recommendations could become refined to endorse just one choice, potentially guiding more of those bookings directly to a carrier's website versus to Booking. But we still think most travelers will value comparing pictures, locations, and amenities of travel supply options, especially for accommodation, where there is meaningful differentiation among listings, and this will continue to add validity to Booking's platform. Additionally, Booking has historically offered users a better experience than direct supplier websites through superior pictures, descriptions, and its checkout process. We think this will continue to resonate with travelers and drive mass-market AI search product results toward the company's platform.

Also, Booking is not sitting idle in the AI revolution; it's leveraging its customer data and pristine financial position to train large language models for specific use cases across its platform. The company released its first chatbot, Penny, in June 2023 to help travelers with hotel search and bookings and/or make reservations at restaurants on its OpenTable brand. The operator is also using chatbots to help hotel suppliers send automated responses to traveler inquiries and/or help answer questions during the onboarding process for short-term rental owners. Operationally, AI is helping engineers develop products more quickly while automating customer service functions, which can lead to cost and innovation improvements. With its about $52 billion in estimated 2026-30 free cash flow to the firm, a debt/EBITDA ratio of 2 times, and leading consumer data, we see Booking in the pole position to one day have generative AI anticipate the needs of its users based on past interactions, supporting its network edge.

Booking's industry-leading travel supply and AI position are driving strong user metrics, buoying the demand side of its network advantage. This global presence is shown in Booking's platform, reserving over 1.2 billion room night bookings in 2025 versus 415 million at Expedia and 533 million stays at Airbnb.

We think Booking's industry-leading 33% operating margin in 2025, which we expect will expand to the high 30s over the next five years, offers quantitative evidence of a competitive advantage.

Fair Value and Profit Drivers Dan Wasiolek, Senior Equity Analyst, 4 May 2026

After reviewing first-quarter results, we have decreased our fair value estimate to $211 per share from $220 on lower sales growth in 2026 due to the headwinds from the geopolitical conflict in the Middle East. Our fair value estimate implies a 2026 enterprise value/adjusted EBITDA multiple of 16 times. The

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key drivers of our financial model are agency and merchant booking growth and online and offline advertising expenses.

Booking's first-quarter sales increased 16%, despite a 2-percentage-point headwind from the Iran War. Adjusted EBITDA rose 19% due to fixed cost savings. Geopolitical uncertainty led the company to reduce its 2026 revenue guidance to high-single-digit growth from low-double digits. We have decreased our 2026 revenue growth estimate to 9% from 11%. We expect revenue growth to average a high-single-digit percentage through 2030, as we believe AI will further enhance the company's already strong competitive positioning.

In December 2024, Booking announced plans to extract $400 million-$450 million in costs over the next few years, or about 2%-3% of 2025 operating expenses, which it will reinvest in its network. In October 2025, the company increased its cost-saving target by $100 million. We see the cost initiative, driven by reductions in the company's workforce and real estate portfolio, and via procurement and technology development efficiencies, as achievable. We don't expect these cuts to sacrifice booking growth; in fact, they should elevate demand on the company's platform, aided by the reinvestment of some savings in flight, vacation rental, experience, payment, and AI offerings. Additionally, we believe Booking will leverage its marketing and customer service expenses, driven by revenue scale and aided by AI. We model operating margin will reach 38% in the next 10 years from 33% in 2025.

We model total, agency, and merchant booking growth to average 7%, 1%, and 9%, respectively, over 2026-35 as the company benefits from reinvestment of planned cost savings, secular investment in AI, onshoring manufacturing, and infrastructure in the US that should spark economic growth, further demand recovery in Asia-Pacific, and an ongoing increase in middle-income households (around 1 billion have been added to the global population during the last 10 years, according to Oxford Economics). Our forecast is aided by online alternative accommodation industry bookings growing by about 10% during 2026-30. We see Booking's online vacation rental room night share in the 30s.

Risk and Uncertainty Dan Wasiolek, Senior Equity Analyst, 4 May 2026

Our Morningstar Uncertainty Rating for Booking Holdings is High. Risks surrounding slower economic growth could hit our forecast for demand. But this should not affect Booking's uncertainty rating unless travel demand returns to near zero for an extended period, leading to potential needs for incremental liquidity, which perhaps could occur at value-destructive levels.

The travel industry is cyclical and affected by changes in economic growth, which can result from exogenous events like airborne illnesses or geopolitical conflicts. In 2009, Booking's growth (for bookings) slowed to 26% from 53% reported in 2008 during the Great Recession. More recently, the spread of covid represented a material headwind to travel demand in 2020 and 2021, leading Booking's 2020 revenue to decline 55% and recover to just 79% of 2019's level in 2021. Additionally, terrorist

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attacks can lead to a near-term disruption in bookings. Potential European regulation around networks could also affect competitive positioning for Booking and Airbnb. Finally, Booking faces environmental, social, and governance risks around innovation tax code changes, data breaches, and potential fees should its platform be viewed as anticompetitive.

Booking derives most of its sales from international markets, exposing it to exchange-rate fluctuations that can meaningfully hit sales and profitability.

Focused entry and adoption from companies such as Google, Amazon, Alibaba, Meta, and ChatGPT could have a meaningful impact on Booking's growth.

Capital Allocation Dan Wasiolek, Senior Equity Analyst, 4 May 2026

We see Booking's balance sheet as strong and assign the company an Exemplary Morningstar Capital Allocation Rating.

The balance sheet remains sound, given the company's medium revenue cyclicality and operating leverage. We anticipate considerable financial flexibility, as we forecast Booking's debt-adjusted EBITDA to average approximately 1.1 times during 2026-30. This is manageable, given that we expect approximately $52 billion in free cash flow to the firm over the same period.

We hold a positive view on Booking's investment strategy, which is prudently focused on building out its platform and improving the user experience, supporting an industry-leading online travel network advantage. The company saw a massive opportunity in international markets and acquired Booking.com in 2005 for only $135 million and Agoda in 2007. With our stand-alone valuation for Booking.com around $145 billion (which is based on our fair value estimate, enterprise value, and our assumption that Booking.com is 85% of cash flow generation), the acquisition is one of the most successful acquisitions of a foreign company by a US company in the last 50 years. We believe our positive stance on its investment strategy is supported by an improving operating margin that expands to 38% by 2035 from 33% in 2025.

We see Booking's shareholder distributions as average. On one hand, we prefer the company not to pay a dividend at this time, given that many growth areas are still within the industry. But even after initiating a 20% dividend payout ratio in 2024, the company generates more than enough cash flow to invest in the industry's many growth areas. On the other hand, Booking continues to be opportunistic when it comes to share repurchases, aggressively buying back its stock on price pullbacks, typically when we find the valuation at attractive levels.

Analyst Notes Archive

Booking Earnings: US and Network Tailwinds Mitigating Near-Term Middle East Headwinds; Shares Cheap Dan Wasiolek,Senior Equity Analyst,28 Apr 2026

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Booking's first-quarter sales increased 16%, despite a 2-percentage-point headwind from the Iran War. Adjusted EBITDA rose 19% due to fixed cost savings. Geopolitical uncertainty led the company to reduce its 2026 revenue guidance to high-single-digit growth from low-double-digit growth. Why it matters: Although the Iran War is impacting near-term demand, the desire to travel is holding steady as growth in other regions remains healthy. Also, we see Booking's network advantage as intact, illustrated by growing loyalty engagement and demand for more travel offerings added to its platform. Middle East (4% of bookers) impacted total room night growth by 2 percentage points in the quarter. But room nights rose at a low-teens percentage in the US (around 15%), were up mid-single digits in Europe (50%), and up high-single digits in Asia (25%). Booking's loyalty engagement increased to high-50% of total room nights versus mid-50% a year ago, and connected transactions (bookings of multiple verticals) grew at a high-teen percentage. The bottom line: We plan to reduce our $220 per share fair value estimate for wide-moat Booking by a mid-single-digit percentage due to near-term geopolitical disruption. We think the pullback in shares from the Iran War presents an opportunity to invest in this high-quality company. We plan to reduce our 2026 revenue growth estimate to 9% from 11% on the near-term geopolitical disruption. Beyond this year, we still see high-single-digit average annual sales growth into 2030. We think Booking's improvement in its US region can continue for some time, barring an economic downturn, due to secular AI, onshoring manufacturing, and infrastructure investments over the next several years. Long view: We think agentic AI will draw on the trusted data from Booking's aggregated platforms and is unlikely to offer payment and service capabilities itself, which the firm's boutique and rental suppliers (90% of nights) often lack.

Booking Earnings: Fundamentals Are Strong, the Market's AI Angst Is Misplaced; Shares Undervalued Dan Wasiolek,Senior Equity Analyst,19 Feb 2026

Booking's fourth-quarter revenue increased 16%, above the company's 10%-12% guidance, driven by 9% room night growth, compared with the firm's 6%-8% target, and 500 basis points of currency benefit. Adjusted EBITDA rose 19% versus its 8%-14% prognosis, helped by artificial intelligence efficiencies. Why it matters: Investor focus has been on potential AI displacement, a risk we believe is exaggerated. Instead, we think the market should turn its attention to the fundamental strength of Booking's network advantage. We think agentic AI will draw the trusted data of Booking's aggregated platforms and are unlikely to offer payment and service capabilities themselves, which the firm's boutique and rentals suppliers (90% of nights) often lack. Also, loyalty members (high-50s of total nights) create switching costs. From where we sit, Booking's network is strengthening, with bookings or multiple products growing in the high-20% in the quarter to a low-double-digit percentage of transactions. The firm guided to low-double-digit sales growth and EBITDA margin expansion in 2026, which we believe is achievable. The bottom line: We plan to increase our $5,300 per share fair value estimate for wide-moat Booking by a mid-single-digit percentage to account for higher revenue in 2026. Shares are undervalued as the market is underappreciating the company's AI position. We plan to

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Booking Holdings Inc BKNG ★★★★ 4 May 2026 05:07, UTC

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increase our 2026 revenue growth to 11%-12% from 9%, followed by 8%-9% growth through 2030, above the company's long-term guidance of 8%. Our prognosis is based on our favorable view of Booking's global network AI integration. Booking's two core platforms, booking.com and agoda.com, position the company well in the fast-growing Asian travel market. We think this region accounts for about one-fourth of Booking's bookers and can expand above 10% annually over the next few years.

Airbnb, Booking, Expedia: AI Is Not a Big Bad Wolf for Online Travel; Airbnb Shares Attractive Dan Wasiolek,Senior Equity Analyst,4 Feb 2026

Shares of online travel agency companies were down meaningfully during Feb. 3 trading, as news of Anthropic's legal tool raised concern that many existing software and applications would eventually be displaced by artificial intelligence. Why it matters: Much like traditional Google searches, we expect that artificial intelligence search products will draw on data owned by either direct suppliers or aggregated platforms. These firms have accumulated large amounts of customer travel data that would be hard for others to produce. We believe Airbnb's alternative accommodation business is particularly protected from the AI threat, as most its 5 million hosts are individuals with no website for AI searches to locate. Instead, AI search discovery will still go through trusted, aggregated networks like Airbnb. Booking is positioned to weather any AI storm, as most of its business is from international markets that are heavily fragmented and individually owned. We see the threat as manageable for Expedia even though it faces more risk in its core US region, where over 70% of rooms are part of a brand. The bottom line: We maintain our $168, $5,300, and $245 per share fair value estimates for wide-moat Airbnb, wide-moat Booking, and narrow-moat Expedia, respectively. With shares trading at about a 30% discount to our valuation, we see Airbnb as an attractive investment opportunity. Beginning this year, we think marketing investment in Airbnb's three expansion verticals will accelerate total bookings growth from 2025's estimated 10.4%. We see expansion market bookings growth averaging about 20% during 2026-34, above the 11% for the consolidated company. Revenue growth during 2026-34 is estimated to average 11.5%. In addition to driving incremental bookings, we see Airbnb's experiences and services averaging a 20% take rate (percentage of a booking kept as sales), above the 13.5% for its core accommodation business.

Booking Earnings: Travel Demand Persists, Strengthening Its Network Expertise; Shares Fairly Valued Dan Wasiolek,Senior Equity Analyst,29 Oct 2025

Booking Holdings' third-quarter bookings increased 14%, above our 13% estimate, driven by strength in Asia markets and the alternative accommodation vertical. EBITDA rose 15%, as marketing rose just 9% to 4.7% of total bookings. Why it matters: Booking's shares increased 4% in Oct. 28 after-hours trading, as its network advantage continues to strengthen beyond its core traditional hotel offering, driven by incremental supply and services, leading to strong demand. Alternative room nights grew 10% in the quarter, reaching 36% of total nights, ahead of our 8% growth estimate for wide-moat Airbnb over the

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same period. We think the firm can maintain this growth for the foreseeable future and increase its mid-30s room night share from smaller peers. The company's flight content is expanding into more countries, driving a 32% increase in tickets in the quarter. In our view, this illustrates that as supply is added to the platform, value is enhanced for users, showcasing Booking's strong network advantage. The bottom line: We plan to increase our $5,200 per share fair value estimate for wide-moat Booking by a low-single-digit percentage, driven by higher near-term revenue and profitability. We see shares as fairly valued. We expect to raise our 11% and 16% 2025 revenue and EBITDA growth estimates to 12% and 18%, respectively. We still see revenue growth averaging a high-single-digit percentage through 2030, as we believe artificial intelligence will enhance the company's already stout competitive positioning. We think generative AI is an opportunity for the company, as search products will draw on the content owned by aggregated platforms like Booking, which has amassed significant customer travel data that is trusted by users over the past few decades.

Booking Holdings Earnings: Network Continues to Strengthen Amid Resilient Demand; Shares Overvalued Dan Wasiolek,Senior Equity Analyst,30 Jul 2025

Booking's reservations increased 13%, ahead of its guidance for 10%-12% growth, led by room nights lifting 8% (4%-6%) and a 4-percentage-point currency benefit. Adjusted EBITDA was up 28% (13%-16%) on fixed and marketing cost leverage.Why it matters: We remain confident in our long-held view that Booking's network advantage is strengthening, helping the company report resilient demand despite uncertain economic conditions. The firm's network is resonating with travelers. Bookings of more than one vertical grew 30%, aided by the expansion beyond its leading core hotel business by offering more flights (tickets up 44%), alternative accommodations (room nights up 10%), and experiences (volumes up more than 100%). International room nights (75% of the total business) grew a healthy high-single-digit percentage, which we think is outpacing the overall market. Similarly, US room nights increased by a low-single-digit percentage, ahead of a slight decrease in the hotel industry during the quarter. The bottom line: We plan to increase our $4,800 fair value estimate by a high-single-digit percentage for wide-moat Booking, driven by stronger bookings and EBITDA in 2025. Even with the planned lift, trading around 20 times forward enterprise value/EBITDA versus 17 times prepandemic, we see shares as pricey. We plan to increase our 2025 bookings growth to above 10% from 7%, as our conviction in the company's network edge and views on the economic backdrop improve. Beyond this year, we think Booking can average 9% growth annually through the rest of this decade. Booking's increasing direct mix (mid-60% of total business-to-consumer bookings from low-60%), artificial intelligence potential, and fixed cost management (up 11% in the quarter versus 16% sales growth), support lifting our 2025 EBITDA growth to a midteens percentage from our 9% estimate before the results.

Booking Earnings: Network Edge Shines, Despite a Cut to 2025 Sales Guidance Amid an Uncertain Macro Dan Wasiolek,Senior Equity Analyst,30 Apr 2025

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First-quarter bookings and room nights increased by 7%, hitting the high end of Booking's 5%-7% guidance, as demand for travel remained stable. But the firm reduced its 2025 constant-currency sales growth target to mid- to high-single digits from at least 8% amid low macrovisibility. Why it matters: While Booking's network is among the strongest in the industry, its demand would not be immune if the US tariff policy led to weaker consumption. Although international travel trends remained intact, Booking noted shorter lengths of stay in the US, which could be an early signal of waning demand. Booking's platform is resonating with travelers, as witnessed by a 12% accommodation room night growth, a 45% increase in flight volume, and its business-to-consumer direct traffic mix lifting to mid-60s from low-60s. The bottom line: We plan to increase our $4,600 per share fair value estimate for wide-moat Booking by about 4% to account for a stronger euro. We see shares as fairly valued. Booking sees currency benefitting reported 2025 revenue by two percentage points, versus its prior view of a three-percentage-point drag. Thus, we plan to increase our 2025 sales growth forecast to about 7% from 3.5%, which continues to incorporate some further softening in demand. The company expects to leverage its marketing and fixed operator costs in 2025, leading to EBITDA margin expansion of 50-100 basis points, which we think is achievable. Coming up: We believe Booking is well-positioned to benefit from artificial intelligence over the coming years, supporting its stout network advantage. We think the content generative AI that search products draw on will be owned by aggregated platforms like Booking, which has amassed significant customer travel data over the past few decades. Booking is not sitting idle amid the AI revolution; it is leveraging its data and pristine financial position to train large language models for specific use cases across its platform.

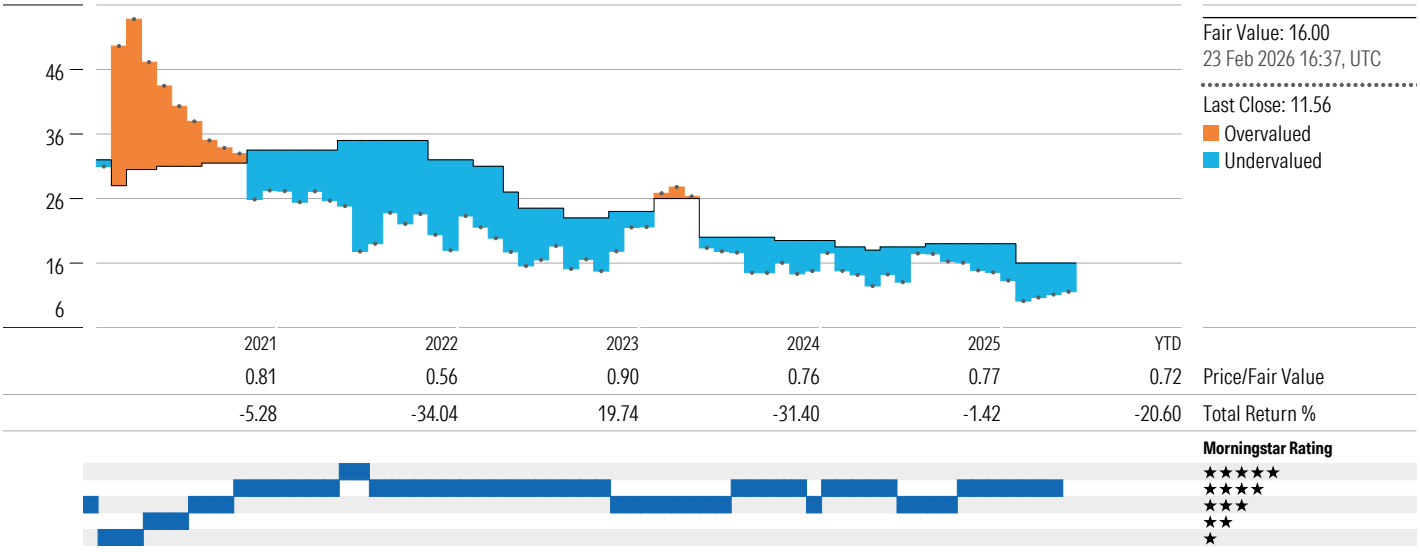
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Competitors Price vs. Fair Value

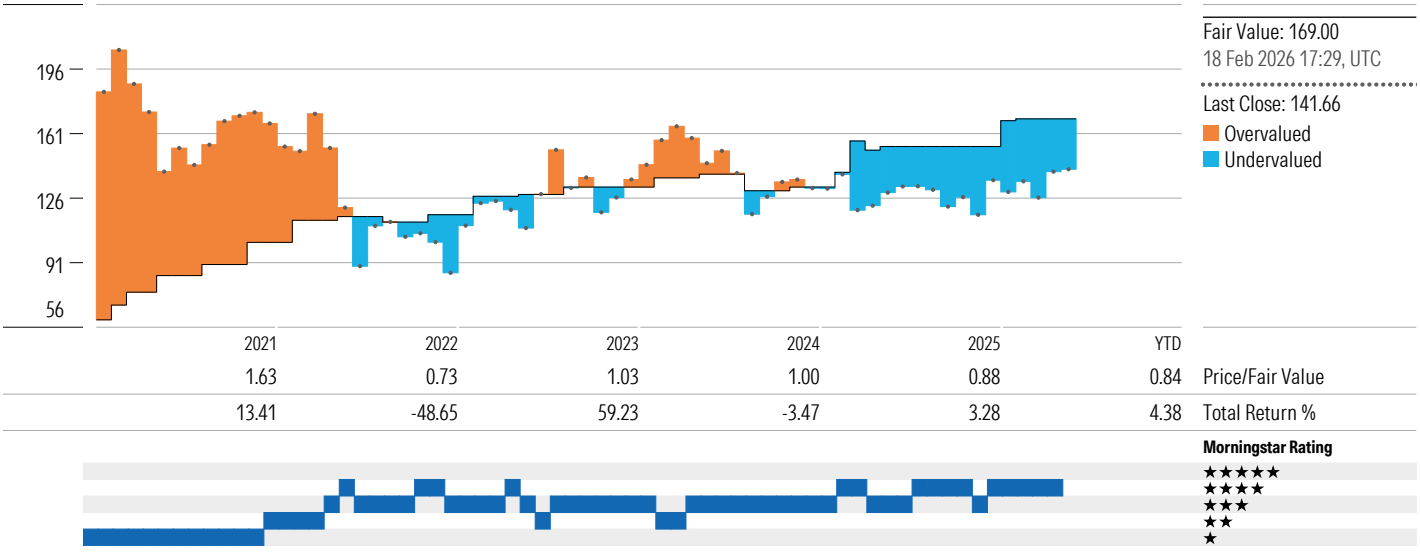
Tripadvisor Inc TRIP



	2021	2022	2023	2024	2025	YTD	
	0.81	0.56	0.90	0.76	0.77	0.72	Price/Fair Value
	-5.28	-34.04	19.74	-31.40	-1.42	-20.60	Total Return %

Total Return % as of 01 May 2026. Last Close as of 01 May 2026. Fair Value as of 23 Feb 2026 16:37, UTC.

Airbnb Inc Ordinary Shares - Class A ABNB



	2021	2022	2023	2024	2025	YTD	
	1.63	0.73	1.03	1.00	0.88	0.84	Price/Fair Value
	13.41	-48.65	59.23	-3.47	3.28	4.38	Total Return %

Total Return % as of 01 May 2026. Last Close as of 01 May 2026. Fair Value as of 18 Feb 2026 17:29, UTC.

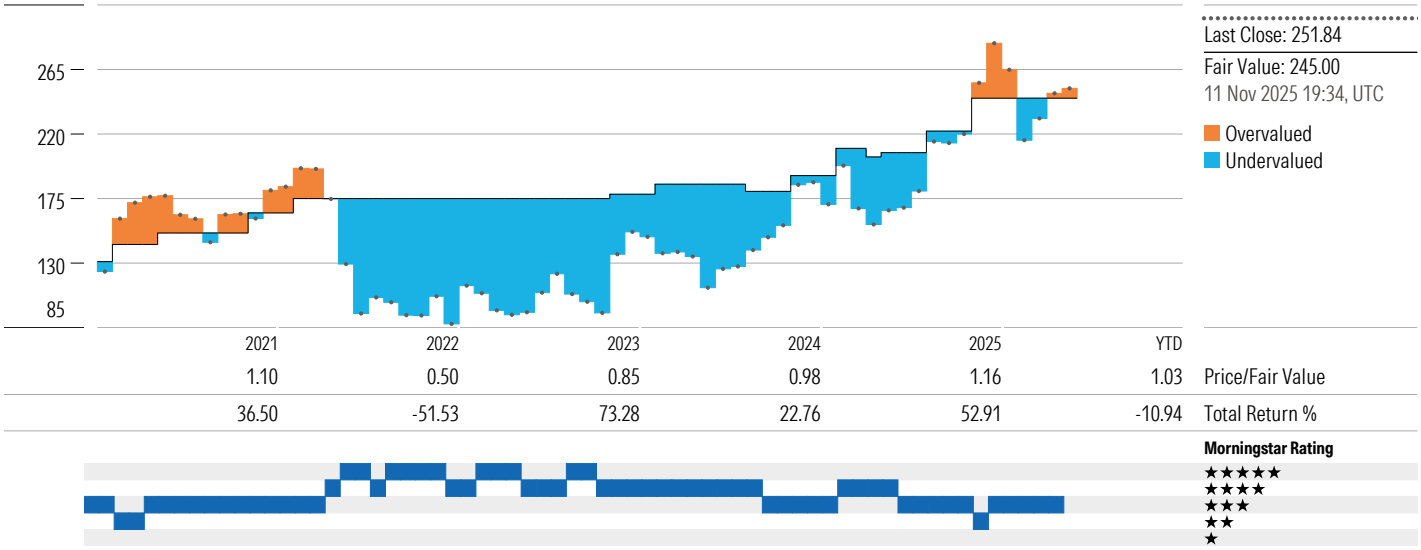
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Competitors Price vs. Fair Value

Expedia Group Inc EXPE



	2021	2022	2023	2024	2025	YTD	
	1.10	0.50	0.85	0.98	1.16	1.03	Price/Fair Value
	36.50	-51.53	73.28	22.76	52.91	-10.94	Total Return %

Total Return % as of 01 May 2026. Last Close as of 01 May 2026. Fair Value as of 11 Nov 2025 19:34, UTC.

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Morningstar Valuation Model Summary

Financials as of 03 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	21,365	23,739	26,917	29,406	32,097	35,090	38,037	40,564
Operating Income (USD Mil)	5,840	7,589	9,487	10,516	11,707	13,040	14,226	15,301
EBITDA (USD Mil)	6,339	8,146	9,448	10,916	12,357	13,790	15,101	16,226
Adjusted EBITDA (USD Mil)	7,112	8,306	9,937	10,916	12,357	13,790	15,101	16,226
Net Income (USD Mil)	4,289	5,882	5,404	7,969	9,227	10,431	11,584	12,511
Adjusted Net Income (USD Mil)	5,561	6,374	7,444	8,190	9,448	10,652	11,805	12,732
Free Cash Flow To The Firm (USD Mil)	5,329	9,050	9,159	7,698	9,895	10,877	11,622	12,389
Weighted Average Diluted Shares Outstanding (Mil)	913	852	816	795	763	741	719	696
Earnings Per Share (Diluted) (USD)	4.70	6.91	6.62	10.03	12.10	14.08	16.12	17.97
Adjusted Earnings Per Share (Diluted) (USD)	6.09	7.48	9.12	10.30	12.39	14.38	16.43	18.29
Dividends Per Share (USD)	0.00	8.75	38.40	42.00	2.42	2.82	4.03	5.39

Margins & Returns as of 03 May 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	30.6	27.3	32.0	35.3	35.8	36.5	37.2	37.4	37.7	36.8
EBITDA Margin %	—	29.7	34.3	35.1	37.1	38.5	39.3	39.7	40.0	—
Adjusted EBITDA Margin %	—	33.3	35.0	36.9	37.1	38.5	39.3	39.7	40.0	38.9
Net Margin %	21.7	20.1	24.8	20.1	27.1	28.7	29.7	30.5	30.8	29.4
Adjusted Net Margin %	26.8	26.0	26.9	27.7	27.9	29.4	30.4	31.0	31.4	30.0
Free Cash Flow To The Firm Margin %	32.4	24.9	38.1	34.0	26.2	30.8	31.0	30.6	30.5	29.8

Growth & Ratios as of 03 May 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	16.4	25.0	11.1	13.4	9.3	9.2	9.3	8.4	6.7	8.6
Operating Income Growth %	24.6	19.1	30.0	25.0	10.8	11.3	11.4	9.1	7.6	10.0
EBITDA Growth %	19.5	14.1	28.5	16.0	15.5	13.2	11.6	9.5	7.4	11.4
Adjusted EBITDA Growth %	23.4	34.3	16.8	19.6	9.8	13.2	11.6	9.5	7.4	10.3
Earnings Per Share Growth %	29.4	53.8	47.1	-4.1	51.4	20.7	16.4	14.5	11.5	22.1
Adjusted Earnings Per Share Growth %	29.4	52.5	22.9	21.9	13.0	20.2	16.1	14.2	11.3	22.1

Valuation as of 03 May 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	23.3	26.6	23.5	16.5	13.7	11.8	10.3	9.3
Price/Sales	5.8	6.9	6.3	4.5	4.1	3.7	3.5	3.2
Price/Book	-47.3	-42.1	-31.3	-3.5	-3.6	-3.8	-4.1	-4.3
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	17.5	19.8	17.3	12.3	10.9	9.7	8.9	8.3
EV/EBIT	21.3	21.7	18.1	12.8	11.5	10.3	9.4	8.8
Dividend Yield %	—	4.4	17.9	24.8	1.4	1.7	2.4	3.2
Dividend Payout %	0.0	116.9	420.9	407.6	19.5	19.6	24.5	29.5
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 03 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	17.6	21.2	18.5	30.6	32.5	34.7	36.6	36.8
ROE %	-156.3	-146.3	-96.9	-122.8	-224.5	-1362.0	602.8	267.4
ROIC %	155.2	232.6	335.4	395.3	482.7	628.1	791.9	911.0

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	10.7	9.4	10.1	9.8	9.1	7.5	6.4	5.6
Assets/Equity	-8.9	-6.9	-5.2	-4.0	-6.9	-39.3	16.5	7.3
Net Debt/EBITDA	0.3	0.1	0.2	0.3	0.1	-0.2	-0.3	-0.5
Total Debt/EBITDA	2.1	2.1	1.9	1.6	1.3	1.0	0.8	0.7
EBITDA/ Net Interest Expense	20.1	45.9	14.3	110.5	-101.0	-27.2	-18.5	-17.1

Forecast Revisions as of 4 May 2026	2026		2027		2028	
Prior data as of 6 Apr 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	211.00	223.59	—	—	—	—
Revenue (USD Mil)	29,406	29,937	32,097	32,691	35,090	35,756
Operating Income (USD Mil)	10,516	10,716	11,707	11,936	13,040	13,302
EBITDA (USD Mil)	10,916	11,116	12,357	12,586	13,790	14,052
Net Income (USD Mil)	8,190	8,361	9,448	9,642	10,652	10,871
Earnings Per Share (Diluted) (USD)	10.03	10.24	12.10	12.35	14.08	14.38
Adjusted Earnings Per Share (Diluted) (USD)	10.30	10.52	12.39	12.64	14.38	14.68
Dividends Per Share (USD)	42.00	1.68	2.42	2.47	2.82	2.88

Key Valuation Drivers as of 03 May 2026

Cost of Equity %	9.4
Pre-Tax Cost of Debt %	5.1
Weighted Average Cost of Capital %	8.7
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	3.4
Stage II Investment Rate %	-0.1
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 03 May 2026

	USD Mil
Present Value Stage I	70,387
Present Value Stage II	51,272
Present Value Stage III	48,092
Total Firm Value	**169,751**
Cash and Equivalents	17,203
Debt	18,736
Other Adjustments	527
Equity Value	**168,745**
Projected Diluted Shares	774
Fair Value per Share (USD)	**211.00**

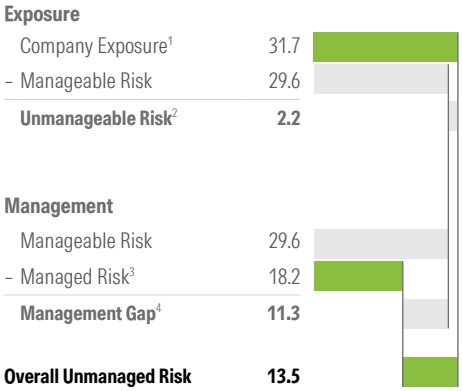
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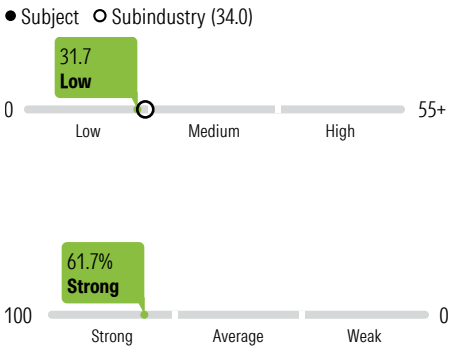
MORNINGSTAR®

Booking Holdings Inc BKNG ★★★★ 4 May 2026 05:07, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
169.63 USD 1 May 2026	211.00 USD 4 May 2026 05:01, UTC	0.80	131.44 USD Bil 1 May 2026	Wide	Large Value	High	Exemplary	1 May 2026 05:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 61.7% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 01, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Internet Software and Services. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 01 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Booking Holdings Inc	31.7 | Low	0	55+	61.7 | Strong	100	0	13.5 | Low	0	40+
Expedia Group Inc	38.2 | Medium	0	55+	59.2 | Strong	100	0	17.3 | Low	0	40+
Tripadvisor Inc	42.0 | Medium	0	55+	38.6 | Average	100	0	26.9 | Medium	0	40+
Airbnb Inc	30.6 | Low	0	55+	50.8 | Strong	100	0	16.0 | Low	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Booking Holdings Inc BKNG 1 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Tripadvisor Inc TRIP 1 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Airbnb Inc Ordinary Shares - Class A ABNB 1 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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★	★	★	★	★	★	★	★	★	★	★	★

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Expedia Group Inc EXPE 1 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★★	★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

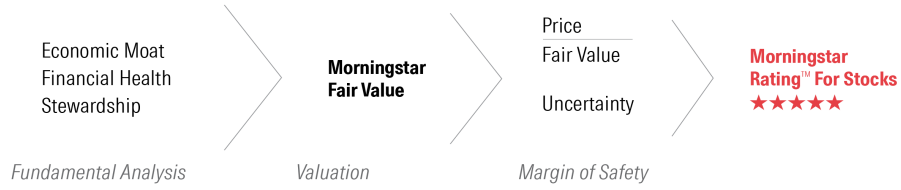
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

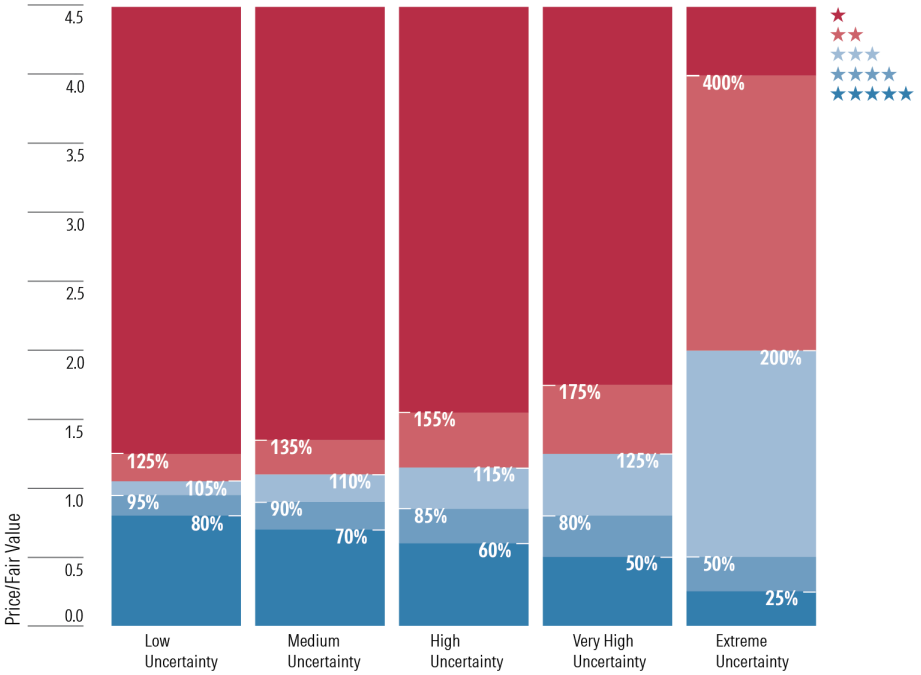
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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